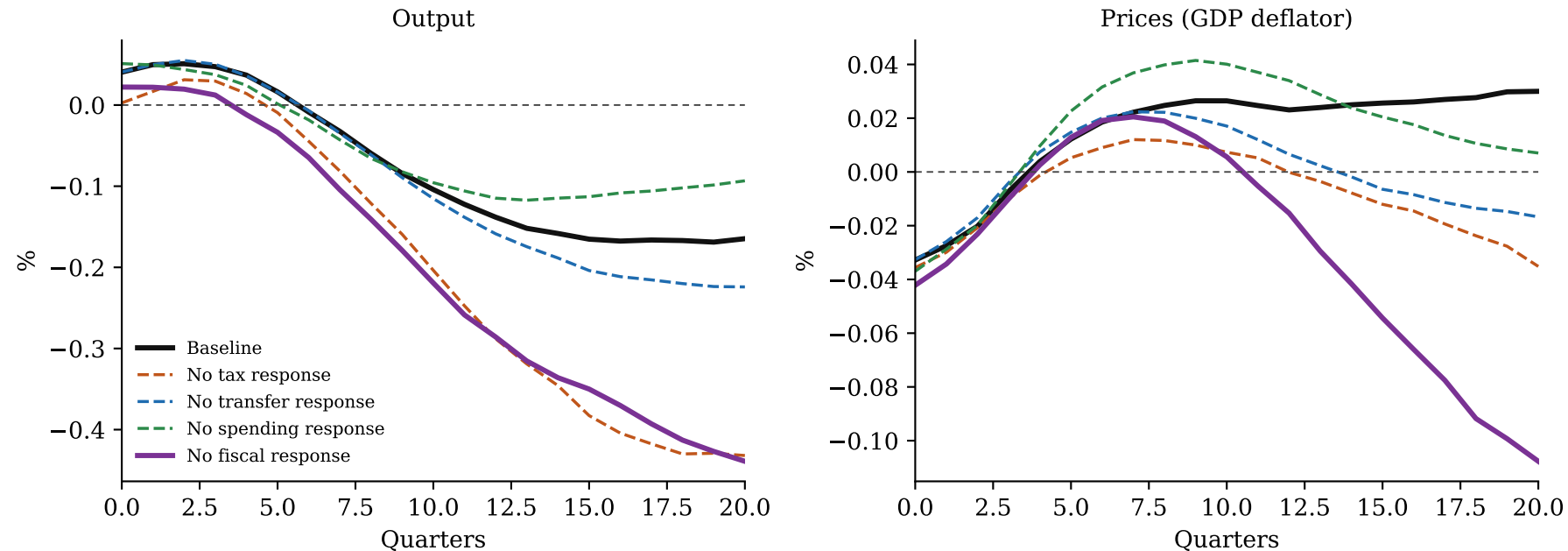


Figure 2. Structural counterfactuals: the fiscal channel of monetary policy



Notes: Posterior-median responses to a contractionary monetary shock with the indicated fiscal margin's response held at zero.
A larger contraction without fiscal responses => fiscal policy cushions monetary transmission.